

LFB HOLDINGS

Decision Distortion Assessment Reports

BASE REPORT

Your Decision Distortion Assessment — Incentive Misalignment Is Your Dominant Force

Your assessment is in. Of the four forces that bend organizational judgment under pressure, incentive misalignment is showing up most actively in your company right now. This one operates differently from the other three. Noise, bias, and accumulation distort judgment from inside the decision process. Incentives operate in the environment surrounding decisions — they determine how fast the other forces compound and how much friction exists to slow them. When incentives are misaligned, the other three forces run without resistance.

What incentive misalignment is

Incentive misalignment is the environmental layer that governs the rate at which noise, bias, and accumulation compound. Think of it as the fuel the other forces run on. Noise, bias, and accumulation are always present in organizations — they're latent. The incentive structure determines whether they operate with friction or without it.

In a clean incentive environment — honest feedback loops, no pressure to perform a narrative, no penalty for surfacing a hard truth — the three cognitive forces still operate, but they also self-correct. Disconfirming evidence lands. Honest dissent is possible. The chain forms slowly and breaks more easily. In a high-fuel environment — runway pressure, valuation optics, board expectations, identity fusion between founder and thesis — the same latent forces run without friction. The chain closes faster.

Two empirical regularities describe how misaligned incentives corrupt the signal environment. When a measure becomes a target, it ceases to be a good measure. And when a quantitative indicator is used for accountability, it becomes subject to gaming — not always through fraud, but through the rational redirection of effort toward what is measured and away from what matters.

How it typically shows up

The metrics a company reports to its board and the metrics it actually runs the business by start to diverge. Not dramatically, not dishonestly — but the external story and the internal reality are different documents. Sales reports units shipped; the operational reality is that implementation timelines are slipping and renewals are at risk. The company isn't lying. It's performing the narrative the incentive environment rewards, and the people inside can see the gap but can't quite say so without cost.

Then a harder truth surfaces — a product problem, a customer defection, a market signal that the thesis may need revisiting. The person who could have raised it three months ago didn't, because they had watched what happened to the last person who brought a hard problem into the room. By the time the truth is undeniable, the window for the cheaper response has closed.

That sequence — rational silence, delayed signal, expensive correction — is what high-fuel incentive environments produce. Reliably.

Where your assessment is pointing most clearly within incentive misalignment is on fear-driven silence — the dynamic where people stay quiet not because they don't see the problem but because of what happens to the person who names it. The question your assessment flagged describes the most expensive single consequence of a misaligned incentive environment: the suppression of early signal. Problems that are visible and nameable early are cheap to address. The same problems, visible but unspoken, compound until they're undeniable — at which point they're no longer cheap. The mechanism isn't irrational. If raising a hard truth has visibly cost others standing in this organization, staying quiet is the rational response to a rational calculation. The organization doesn't have a candor problem. It has an incentive problem that produces a silence problem. Changing the calculus requires making the cost of silence — operationally, not rhetorically — higher than the cost of speaking.

Where to start

The first intervention is to make the cost of silence visible and explicit. In a significant meeting where a hard problem is on the table, name out loud what the organization loses when problems surface late rather than early — in time, in money, in options. Not as a lecture. As a shared accounting of what late signal actually costs. Most people who stay quiet have never had the cost of their silence made concrete to them. The calculation they're running is asymmetric: the cost of speaking feels immediate and personal, the cost of silence feels diffuse and organizational. Naming the organizational cost doesn't eliminate the personal risk — but it changes the calculation.

The second is a structured early signal mechanism that removes the personal exposure from surfacing problems. A standing anonymous input channel — a pre-read submission, a weekly written prompt, a skip-level conversation with a named safe harbor — gives problems a path into the room that doesn't require anyone to be the person who brought them. The goal isn't to protect anonymity permanently. It's to ensure that the first time a hard truth surfaces, the person who saw it doesn't have to choose between the organization's health and their own standing in it.

The research behind this

The academic foundation for what your assessment detected comes primarily from *The Tyranny of Metrics* by Jerry Muller — the most direct account of how incentive structures and metric fixation distort organizational behavior, and why the behaviors an incentive system produces are often not the behaviors it intended. Goodhart's Law and Campbell's Law — both documented in detail there — are directly applicable to what your scores are showing. The insight that matters most: the harder an organization pushes on a metric, the less reliable that metric becomes as a guide to the underlying reality it was meant to capture.

What's next

The full Decision Distortion whitepaper from LFB Holdings walks through how incentive misalignment combines with the other three forces — noise, bias, and accumulation — and how to locate the specific points in your decision process where a single closed gap would have the greatest effect.

If you'd like to talk through what your results mean for your company specifically, we're glad to do that.

LFB Holdings: lfbholdings.com

For ongoing case-by-case analysis of how these forces operate in real organizational decisions, *Bad Call* is a subscription brief that applies this framework to actual decision sequences — company autopsies, one at a time. **Bad Call:** badcall.ai